# Accounting Manual

## Centre for Mass Education in Science (CMES)

## July 2012

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# 1 Centre for Mass Education in Science (CMES)

## 1.1 Introduction

CMES is a well established organization for voluntary services at national level. CMES through various projects has involved general education, education on technology, gender and financial empowerment of target population. CMES transact almost Tk. 500 million in a year. This manual will guide to record transactions accurately; efficiently and for the effective financial management system that will serve the purpose of donor agencies, government agencies and related users of this manual.

## 1.2 Objectives & Approaches of CMES

The aim behind the creation of Centre for Mass Education in Science (CMES) was to arrange an appropriate and effective mass education for the common people encouraging their thoughts and actions in science & technology.

This should help create the human resource development with particular inclusion of the disadvantaged. The objectives of the CMES programs are:

- To provide alternative and second chance education for disadvantaged school dropouts.
- To provide technical skills to the same target group so that they practice these at market level, earning while learning
- To empower adolescents, especially adolescent girls to create gender equity and to enable them to assert their rights towards a healthy development including decision-making and economic self-reliance.
- To adapt appropriate technology mainly towards their commercial application for the improvement of the life and livelihood of the disadvantaged target group.

### 1.3 Objectives of the Accounting Manual

The core objectives of introducing the Accounting manual are:

- To establish the accounting system & policies for helping effective, skilled & transparent bookkeeping.
- To ensure the accountability of the person who is involve in the accounting system.
- To establish a standard accounting system & policies
- To express the followed accounting system & policies in summary.
- To implement an appropriate & effective financial management team and
- To ensure the accountability in the various stages of financial managements.

The manual will be applicable for all the person who is involved with the accounts & finance division.

### 1.4 Amendment of The Manual

The manual will be reviewed by the Theme Working Committee on annual basis. If necessary, the Theme Working Committee will make recommendation to the Board of Directors of CMES for necessary amended of the manual.

Changes in statutory requirements shall be incorporated by finance & Accounts Division with approval of Executive Director & In charge (F&A) as and when required.

# 2 Introduction to the book keeping

Accurate financial records are the basis for sound financial management of organization. There are several compelling reasons to produce accounts, including:

**Accounting** is the art of analyzing, recording, summarizing, reporting, reviewing, and interpreting financial information.

Let's also define what **bookkeeping** is and is not.

Bookkeeping is one of the components of accounting. Think of accounting as the mother and bookkeeping as one of her children.

**Bookkeeping** is the process of recording and classifying business financial transactions (activities). In simple language-maintaining the records of the financial activities of a business or an individual. Bookkeeping's objective is simply to record and summarize financial transactions into a usable form that provides financial information about a business or an individual.

***Accountants normally plan and set up the accounting and bookkeeping system for a business and turn over the day to day record keeping to the owner or one of his/her employees. In this age of computers, more and more of the daily bookkeeping is being done using bookkeeping software and computers although some businesses still maintain manual records.***

## 2.1 Information

All organizations need to keep records of their financial transactions so that they can access information about their financial position, including

- A summary of **Income and expenses** and how they are allocated under various categories
- The **outcome** of all operations- surplus or deficit, net income or net expenditure
- **Assets and liabilities** - or what the organization owns and owes to others.

## 2.2 Credibility

NGOs especially need to be seen to be scrupulous in their handling of money - keeping accurate financial records, promotes integrity, accountability and transparency and avoids suspicion of dishonesty.

## 2.3 Legal Requirement

Donor agencies always require proper books of accounts and get them audited as a condition of grant or aid.

## 2.4 Budget, Monitoring and Future Planning

Although financial accounting information is historical (i.e. happened in the past), it will help managers to plan for the future and understand more about the operations of the organization. To compare actual expenditure against the budget, so that managers can be sure that there are funds to complete all the project activities. With information spanning two of three years, it is possible to detect trends. B

## 2.5 Accounting Period

A business needs to select financial year. Two main choices are a calendar or fiscal year. A Calendar Year is 12 consecutive months beginning January 1 and ending December 31. A Fiscal Year is 12 consecutive months starting from July 1 and ending June 30.

## 2.6 Users of Accounting Information

Two types of users

1) Internal group
   - Management
   - Unit Management
   - Board of Director

2) External groups
   - Government
   - NGOAB
   - Tax and VAT authority
   - Donors
   - Potential Donor

## 2.7 Double Entry System

The backbone of modern accounting is the double-entry system of bookkeeping. The present form of double entry system has been around for an estimated 700 years. The story of double-entry book-keeping takes us back to an Italian monk during Renaissance (1494 CE) named Luca Pacioli. Pacioli in his book Summa de Arithematica, Geometria, Proportioni et Proportionalita" (The Collected Knowledge of Arithmetic, Geometry, Proportion and Proportionality) described double entry bookkeeping for the first time.

Double entry accounting is based on the Balance. When you place an amount on one side, the balance tilts to that side. To make it even, you have to place the same amount on the other side also. You end up making two entries for each transaction. That is why this type of accounting is called Double Entry System of Accounting.

Whenever a piece of business is arranged, there are always two parties involved. One is the “Giver” another one is the “Receiver”. Every piece of business activity is called a transaction and millions of them occur everyday. When Ali buys some pen from a store that is a transaction. When CMES orders 500 computers from a company that is another transaction. The first involves payment of a few taka to the store – it was a cash transaction. The other involves perhaps a million taka, and is almost certainly not a cash transaction. Such transaction where there is a time lag between the contract for the goods and the payment of the money, are called credit transactions. In both types of transaction a giver and receiver take part.

## 2.8 Accounting Methods

There are two main methods of accounting for recording transactions :

- ***Cash basis of Accounting***
- ***Accruals basis of Accounting.***

**As per requirement of NGOAB FD4 has to be prepared followed by the cash basis of accounting. No receivable can be created as foreign aid receivable. But modified accrual basis of accounting may be followed to comply with the requirement of Donor Agencies with the exception in FD4.**

- **Cash basis of Accounting**

This is the simplest way to keep accounting records and does not require advanced bookkeeping skills to maintain. The main features are:

- Payment transactions are recorded in a Bank Book or Cash Book
- The system takes no account of time lags and any bills which might be outstanding.
- The system does not automatically maintain a record of any money owed by liabilities.
- The system cannot record non-cash transactions such as donation in kind or depreciation.

When summarized, the records produce a Receipts and Payments Account for a given period. This simply shows the movement of cash flows of the organization and the cash balances at any given time.

- **Accruals basis of Accounting**

Under accrual basis accounting the effect of transactions and other events are recognized when they occur (not as cash or its equivalent) and they are recorded in the accounting records and reported in the financial statements of the periods to which they relate. Financial Statements prepared on accrual basis inform users not only of past transactions involving the payment and receipt of the cash but also obligation to pay cash in the future period.

This involves "double entry" bookkeeping which refers to the dual aspects of recording of financial transactions to recognize that there are always two parties involved: the giver and the receiver. The dual aspects are referred to as debits and credits. This system is more advanced and requires accountancy skills to maintain.

- Expenses are recorded in a 'General Ledger' as they are incurred, rather than when the bill is actually paid.
- By recognizing financial obligations when they occur, not when they are paid or received, this overcomes the problem of time lags, giving a true picture of the financial position.
- The system can deal with all types of transactions and adjustments
- The system automatically builds in up-to-date information on assets and liabilities

These records provide an Income and Expenditure Account summarizing all income and expenditure committed during a given period; and Balance sheet which demonstrate amongst other things, moneys owed to and by the organization on the last day of the period.

### Relationship between the Type of Bookkeeping System Used and the Accounting Method Used

The **Double Entry** bookkeeping system can be used with both the Cash and Accrual methods of accounting. Debits and Credits are used to record financial transactions.

### Transaction

Transaction represents any event that brings changes in organizational financial position expressed in monetary terms. For transaction there should be two parties, these two parties do not mean the organization or other parties, here two parties" means two different accounts.

**Example:** Payment of salary to the staff of the organization result a change in the financial position.

### Revenue

**Revenue is an increase in economic benefits during the accounting period in the form of inflows or enhancement of assets or decreases of liabilities.**

Revenue means gain of resource through operation, which is measurable by money or having monetary value. Such as fees, service charge, etc. It is earned whether it is received or not.

Types of Revenue (Income)

- Donation/Grant from Donor
- Any Subscription from Member/Donor
- Income from training
- Sale of Products/Publications-Amounts earned from the sale of merchandise.
- Sale of Services.
- Rental Income earned from renting properties.
- Interest Income earned from investments.

### Expense

**Expenses are decrease in economic benefits during the accounting period in the form of outflows or depletion of assets or incurrance of liabilities.**

Expense means use of resource (Salary, Education Materials, Consumable etc.), or in other terms the portion of cost which has expired, having monetary value or which is measurable by money. Expenditure are recognized as expense when they are incurred. Besides that there are periodic expenses those are included in the income statement.

**Types of expenses**

Based on function or **purpose,** expenses are classified into two categories, they are:

A) Program Expense; and
B) Operating Expense.

A) Program Expense:
Expenses, which is directly related with activities of the respective Project/Program of the Organization i.e. Such as:

- Salaries/Time Cost/Fee
- Teaching Aids
- Student Supplies
- Technology Consumable
- Program Aid etc.

B) Operating Expenses:

Expenses that are directly related with day to day operations(running cost) of the organization is called operating expense.

- Repair & Maintenance
- Rent, Rates & Supplies
- Rates & Utilities
- Electrification
- Transport Fuel
- Postage & Telecommunication
- Advertisement etc.
- Insurance, Charges

Moreover, based on the nature, expenses can be divided into two categories. This classification of fixed vs. variables is indeed required for decision-making purposes, not for financial accounting purpose.

**A. Fixed Expense**
Fixed expenses are those expenses, which remain same across a wide range of activity levels. The expenses remain the same regardless of the volume of operations.

**B. Variable Expense**
Expenses those will be incurred in addition with the fixed Expenses for each additional operation.

or

Variable expenses are those that are directly related to the volume of operation and depend on the level of operation.

**Assets**

**Asset is a resource controlled or owned by an organization as a result of past events and from which future economic benefits are expected to flow to the organization.**

. An organization usually employs its assets to produce goods or services capable of satisfying the wants or needs of customers

Assets are divided in two categories Current and Long-term:

**A. Current assets**

Current assets are short-term in nature. They are either held in the form of cash or cash equivalent which is expected to be realized in cash within the accounting period or the normal operating cycle of the organization. Current assets include cash, marketable securities, accounts receivable and inventories.

**B. Long term Assets**

Long-term assets are acquired to retain in the organization on a long-term basis, usually more than one accounting period, to produce goods and services. Examples are land, buildings, machinery etc. and investments or receivables held for a period longer than one year.

There are two kinds of liabilities, those claimed by the creditors and those claimed by the owners. The claims of the owners are called the net worth or owners" equity.

**Liabilities**

**An essential characteristic of liability is that the organization has a present obligation. Obligation may be legally enforceable as consequence of a binding contract or statutory requirements.**

Liabilities can be either short term or long term in nature.

**A. Short Term/Current Liabilities**

Current liabilities are obligations to outsiders repayable within a short period, usually within the accounting period or the operating cycle of the firm. Current liabilities included accounts payables; tax payable, accrued expenses, Short-term borrowing etc.

**B. Long Term Liabilities**

Long-term liabilities are obligations to outsiders which are payable after one year. Long-term liabilities include long term loans from financial institutions, PKSF, IDCOL etc.

## 2.9 Accounting Equation

The whole financial accounting is based upon a very simple idea. This is called the accounting equation, which sounds complicated; but in fact easy to understand.

It can be explained by saying that, if a firm is to be set up and starts trading, then it needs resources, let us assume that in the first place it is the owner of the organization who has supplied all of the resources. These can he shown as:

**Fund in the organization = Resources supplied by the organization**

In accounting term the amount of the resources supplied by the owner is called capital. Assets are purchased to produce goods or services utilizing the resources. This means that the accounting equation can be shown as:

Assets = Equity/Funds

Usually, people other than the owner supply the assets. Liabilities arises when those assets are received. The equation now has changed to

Asset = Equity/Fund + Liability

It can be seen that the two sides of the equation will have the same total. This is because we are dealing with the same thing from two different points of view. It is:

Resources: what they are = Resources: who supplied them
(Assets) (Equity/Fund +Liabilities)

The total of the assets will always equal to the total of Fund + liabilities.

Assets consist of property of all kinds, such as buildings, machinery, stocks of goods and motor vehicles. Also receivable of economic benefits such as debts owed by customers and the amount of money in the bank account are included.

Liability consists of money owing for goods supplied to the organization or liability for expenses. Also loans made to the firm are included.

## 2.10 Effect of transaction on accounting equation (Revenue Exp., Nominal A/C)

It is obvious that every transaction has two fold affects on the accounting equation under double entry system From the following examples we can understand how a transaction effects the accounting equation:

**Transaction 1: The introduction of Fund from Donor**

On August 1, 2003 CMES got Tk. 1000 from its donor.

| **Asset** | | **=** | **Liability +** Equity/Fund | |
|---|---|---|---|---|
| Cash - | 1000 | | Fund Account- | 1000 |
| **Total** | **1000** | | | **1000** |

Here we can see that this transaction increase the cash asset of the organization because donor has given grants to the organizations, and this transaction also increase the fund of the organization because this amount is owed by the organization to its owner, the cash received from the donor.

**Transaction 2: The purchase of an asset by cash**
On August 2, 2003 the organization buys a motor van for Tk. 275 paying by cash.

| **Asset** | | = | **Liability +** Equity/Fund | |
|---|---|---|---|---|
| Motor van(fixed Assets)-<br>Cash - | 275<br>725 | | Fund Account- | 1000 |
| **Total** | **1000** | | | **1000** |

The effect of this transaction is that the cash is decreased because money paid to acquire a new asset i.e. motor van appear in the organization, so one asset is decreased and other asset increased.

**Transaction 3: The purchase of an asset and the incurring of liability**
On August 03, 2003 organization bought furniture on credit from "Furniture Gallery" for Tk. 115

| **Asset** | | = | **Liability +** Equity/Fund | |
|---|---|---|---|---|
| Motor van(Fixed assets)-<br>Furniture(Fixed assets)-<br>Cash - | 275<br>115<br>725 | | Fund Account-<br>Liability- | 1000<br>115 |
| **Total** | **1115** | | | **1115** |

The effect of this transaction is that a new asset i.e. furniture entered into the organization and there is no change in the cash position because the asset acquired on credit so the liability for the organization also increased. Here we can see that both side of the equation has increased.

**Transaction 4: Repayment of credit purchase**
Paid the amount owing in cash of Tk. 115 . to "Furniture Gallery" on August 5, 2003.

| **Asset** | | = | **Liability +** Equity/Fund | |
|---|---|---|---|---|
| Motor van-<br>Furniture-<br>Cash - | 275<br>115<br>610 | | Fund Account-<br>Liability- | 1000<br>0 |
| **Total** | **1000** | | | **1000** |

The effect of this transaction is that the liability reduced by paying cash and the cash asset also decreased.

**Transaction 5: Buy asset on cash**
On August 07,2003 the organization bought some tube well as the merchandise for the organization on cash of Tk. 400

| **Asset** | | = | **Liability +** Equity/Fund | |
|---|---|---|---|---|
| Motor van-<br>Furniture-<br>Stock of goods-<br>Cash - | 275<br>115<br>400<br>210 | | Fund Account-<br>Liability- | 1000<br>0 |
| **Total** | **1000** | | | **1000** |

As the tubewells are the not for the use but to sale by the organization, so it will be treated as stock of merchandise for the organization and that is an asset of the organization. As the merchandise are acquired by cash so cash asset will be decreased and stock asset will be increased.

**Transaction 6: Sale**

On August 10, 2003 the organization sold some of the merchandise at Tk. 175 (Books and periodic) which cost Tk. 150 in cash

| **Asset** | | **=** | **Liability +** Equity/Fund | |
|---|---|---|---|---|
| Motor van- | 275 | | Fund Account- | 1025 |
| Furniture- | 115 | | Liability- | 0 |
| Stock of goods- | 250 | | | |
| Cash - | 385 | | | |
| **Total** | **1025** | | | **1025** |

As the organization sold some of the stock and received cash, so stock asset will be reduced and cash asset will be increased. Accordingly excess of income over the cost of the item added with Fund Account balance.

**Transaction 7: Expense to run the organization**
On August 15, 2003 salary paid to the manager of Tk. 50 in cash.

| **Asset** | | **=** | **Liability +** Equity/Fund | |
|---|---|---|---|---|
| Motor van- | 275 | | Fund Account- | 975 |
| Furniture- | 115 | | Liability- | 0 |
| Stock of goods | 250 | | | |
| Cash - | 335 | | | |
| Total | 975 | | | 975 |

As the salary of the manager paid in cash, so cash asset decrease and any type of expense reduce the owner fund so the fund account balance also decreased.

## 2.11 Equality of the accounting equation

From the above example of transaction we found that every transaction has an effect on the accounting equation and we also learned how the transactions effect the accounting equation and we can briefly express like:

| **Example of transaction** | **Effect** | |
|---|---|---|
| 1. Introduction of new grants from donor | Increase asset<br>↑ (Cash) | Increase in equity/Fund<br>↑ (fund accounts) |
| 2. The purchase of an asset by cash | Increase asset<br>↑ (Motor van) | Decrease asset<br>↓ (Cash) |
| 3. The purchase of an asset and the incurring of liability | Increase asset<br>↑ (Furniture) | Increase liability<br>↑ (Creditors) |
| 4. Repayment of credit purchase | Decrease asset<br>↓ (Cash) | Decrease liability<br>↓ (Creditors) |
| 5. Revenue/income from sale | Increase asset<br>↑ (Cash) | Increase Fund Account<br>↑ (Equity/Fund) |
| 6. Expenses to run to organization | Decrease asset<br>↓ (Cash) | Decrease Fund Account<br>↓ (Equity/Fund) |

## DIFFERENCE BETWEEN CREDIT PROGRAM ACCOUNTING AND OTHER PROGRAM ACCOUNTING

In terms of basic accounting principles of timeliness and accuracy there is no difference between credit program accounting and other program accounting. However, we observe the following difference:

| CREDIT PROGRAM ACCOUNTING | OTHER PROGRAM ACCOUNTING |
|---|---|
| 1. Some additional books of accounts are required for credit program accounting. | 1. Usually no additional books of accounts are required. |
| 2. Prescribed formats of books of accounts are not always followed. | 2. Usually prescribed formats of books of accounts are followed. |
| 3. Some accounting documents are kept at beneficiary level. | 3. No accounting document is kept at beneficiary level. |
| 4. Financial statements are frequently prepared to track the credit fund and to assess the program performance. | 4. Financial statements are usually prepared quarterly. |
| 5. Financial statements are prepared mainly for internal use. | 5. Financial statements are prepared mainly for external use (donors). |

### 2.12 The Accounting Cycle

The eight steps of the accounting cycle describe the accounting for an economic transaction from the time it occurs until it is ultimately reflected in the financial statements

**1. Transaction Occurs**

↓

**2. Journalizing**

**Transactions are entered in a general journal**

↓

**3. Posting /Ledger**

**Journal entries are transferred to ledger accounting**

↓

**4.Trial Balance/Receipts & Payments Accounts**

**Accounts are verified totaled and balanced**

↓

**5. Accounting Adjustments**

**Adjustments are made in order to prepare financial statements**

↓

**6. Closing Entries**

**Clear and close revenue and expense accounts, transfer to statements**

↓

**7. Draft financial statements**

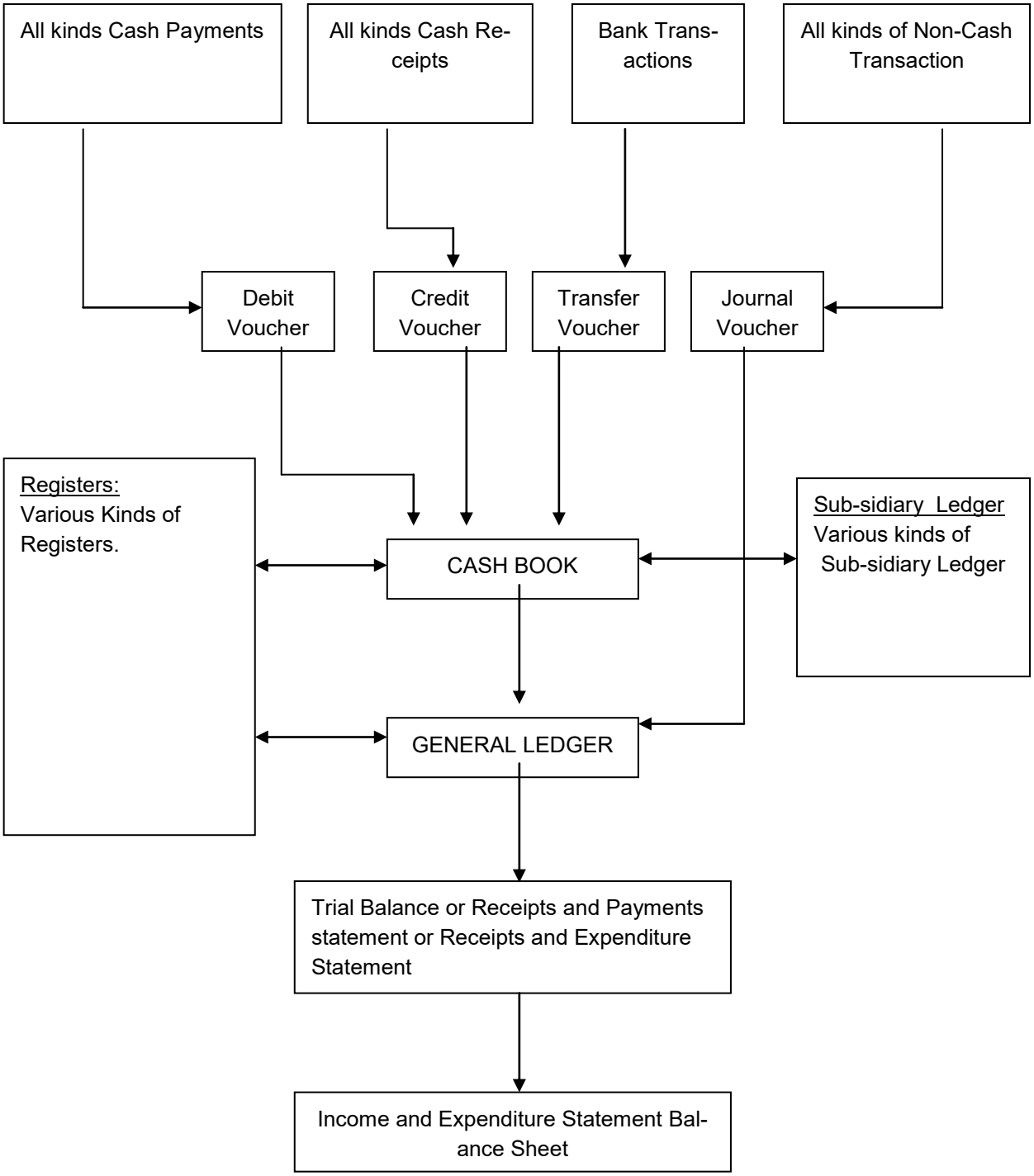
**Balance sheet, Income statements and cash flow Statement are prepared**

↓

**8. Closing (Books are prepared for next cycle)**

## 2.13 NGO Accounting System

**Flow Chart of Accounting Information of a NGO**



## 2.14 Preparation of Debit Voucher and Credit Voucher and posting to cash & other books

Before we enter a payment into our cash book, we attach a voucher on top of the cash memo. This voucher gives more details about the expense (who purchased the items, purpose etc.). The head of account (such as Stationery, Equipment Purchase etc.) is also written on the voucher. The name of the Funding Agency or project is also noted. The Executive Director/In charge (F & A) signs the voucher to show that it has been approved. The voucher is useful because it helps in proper approval procedures and accounting.

In most NGOs vouchers are used for booking expenses only. There are many variations in its design and layout. But one thing is same in all such vouchers: these can be used only for payments. Adjustments cannot be made with these vouchers.

**What are adjustments?**

Suppose you have given Tk. 500 advance to Mr. Akram. He is going to Gazipur to attend a meeting. When he comes back, he submits a Travelling Bill for Tk. 870. Simple calculation shows that you have to pay him another Tk. 370. So you pay him the money. How will you record this transaction?

We have found that NGO's are recording this in different ways. When the advance of Tk. 500 is given; some NGO's do not enter it into the cash book. They note it in a separate register. Later when Mr. Akram submits travelling bill, they tear up the first voucher/ slip for Tk. 500 and cross out the entry in register. Then they make the payment of Tk. 370. The cash book shows a payment of Tk. 870 instead of Tk. 370.

Another way is to show a return of Tk. 500. This is entered as receipt in the cash book. A full payment of Tk. 870 is shown on the payments side. Once again, the actual cash paid on this day is Tk. 370 only.

**Expenses Payable:**

Sometimes you do not make payment for expenses immediately. For example, if you have organized a camp, you may have hired a tent. When the shopkeeper gives you a bill, you may make the payment two or three days later. Similarly, salary for any month is paid four or five days after the month is over.

When you are closing the accounts at the end of the year, these expenses get left out. They will be booked only in the next month (say April), which falls in the next accounting year. To get around this problem, you either try to make all such payments on say, 31st March. Alternatively, you may be back-dating the payment. This helps you show full utilization of the money during the Budget Period.

Actually, all the above methods are wrong because they do not show true transactions. Either the amount is not being recorded correctly or the dates are getting changed. This results in problems such as shortage of cash or wrong structure of accounts.

**One Voucher Can Serve it All**

The above problems can be solved if voucher is designed properly. Such a voucher should provide for adjustment entries. It should also provide for multiple entries. Multiple entries are required when one particular payment is booked under two or three accounts. To save on stationery, it would be useful if the same voucher could be used for cash payments, bank payments, and adjustment entries. The voucher on the next page is meant to solve the above problems. It has been designed specially for CMES, which receive funding from several Agencies.

Voucher Sample:

# Centre for Mass Education in Science (CMES)

House # 823, Road # 19 (old), Dhanmondi R/A, Dhaka-1209

## DEBIT VOUCHER

Program/Project:……. Voucher Serial No:……..

Name of Unit:……. Date: …….

| Particulars | Head of Accounts | Code No. | Taka | Ps. |
|---|---|---|---|---|
| | | | | |
| | | | | |
| | | | | |
| | | | | |
| | | | | |
| | | | | |
| | | | | |
| Taka (In words): | | Total | | |

By Cash/Cheque/DD/PO # Date:

_____ _____ _____

Prepared by Accounts Authorized by

# Centre for Mass Education in Science (CMES)

House # 823, Road # 19 (old), Dhanmondi R/A, Dhaka-1209

## CREDIT VOUCHER

Program/Project:……. Voucher Serial No:……..

Name of Unit:……. Date: …….

| Particulars | Head of Accounts | Code No. | Taka | Ps. |
|---|---|---|---|---|
| | | | | |
| | | | | |
| | | | | |
| | | | | |
| | | | | |
| | | | | |
| | | | | |
| Taka (In words): | | Total | | |

By Cash/Cheque/DD/PO # Date:

_____ _____ _____

Prepared by Accounts Authorized by

# Centre for Mass Education in Science (CMES)

House # 823, Road # 19 (old), Dhanmondi R/A, Dhaka-1209

## JOURNAL VOUCHER

Program/Project:……. Voucher Serial No:……

Name of Unit:……. Date: …….

| Narration | Head of Accounts | Code No. | L.F | Taka | | | |
|---|---|---|---|---|---|---|---|
| | | | | Debit | | Credit | |
| | | | | | | | |
| | | | | | | | |
| | | | | | | | |
| | | | | | | | |
| | | | | | | | |
| Total Taka: | | | | | | | |
| Taka (In words): | | | | | | | |

_____ _____ _____

Prepared by Accounts Authorized by

# Centre for Mass Education in Science (CMES)

House # 823, Road # 19 (old), Dhanmondi R/A, Dhaka-1209

## TANSFER/JOURNAL VOUCHER

Program/Project:…… Voucher Serial No:……

Name of Unit:…… Date: ……..

| Narration | Head of Accounts | Code No. | L.F | Taka | | | |
|---|---|---|---|---|---|---|---|
| | | | | Debit | | Credit | |
| | | | | | | | |
| | | | | | | | |
| | | | | | | | |
| | | | | | | | |
| | | | | | | | |
| Total Taka: | | | | | | | |
| Taka (In words): | | | | | | | |

_____ _____ _____

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## 2.15 Types of accounts

There are three classes of Accounts:

These are:

- Personal accounts,
- Nominal accounts,
- Real accounts,

**Personal Accounts:**
There are many people with whom the organization deals with business. Some are suppliers who make available goods or services, or the assets . Others are customers to whom we supply goods or services. All these people are either creditors or debtors.. Thus we have personal accounts.

Debtors

| Selina Account | |
|---|---|
| Tk.<br>Sales 50.00 | |

Creditors

| Tareque Account | |
|---|---|
| | Tk.<br>Purchase 75.00 |

**Nominal Accounts:**
Suppose we decide to mail all our donor with a leaflet about our project. The cost of this mailing, at the cheapest postage today, might be Tk. 600.00. We send the office junior round to the post office to buy stamps for this value. What will the double entry be? Here it is:

***Cash Account***

| Dr. | | Cr.<br>Tk. |
|---|---|---|
| | 1 Jan. Postage<br>(This is a real account<br>- real money is being given in<br>exchange for postal services) | 600.0 |

***Postage Account***

| Dr. | Cr. |
|---|---|
| Tk.<br>1 Jan. Bank 600.00<br>(This is a nominal account one of the expenses of the business) | |

By contrast, suppose we got Tk. 200 from bank as bank interest . The double entry for it will be in Bank interest Account:

**Bank Account**

| Dr. | Cr. |
|---|---|
| Tk. | |
| 1Jan.Bank interest 200.00 | |

***Bank interest Account***

| Dr. | | Cr.<br>Tk. |
|---|---|---|
| | 1 Jan. Bank | 200.00 |

**Real Accounts:**
When we purchase things like computers, plant and machinery or furniture and fittings become permanent assets available for use over a period of years. These assets are recorded in the this class of accounts – real accounts. Suppose we want to record the purchase of motor vehicle by cheque for Tk. 1,285,000.00.

| **Bank Account** | | |
|---|---|---|
| Dr. | | Cr |
| | | Tk. |
| | 1 Jan. Motor vehicle | 12,85,000.00 |

| Dr. | **Motor Vehicles Account** | Cr |
|---|---|---|
| | Tk. | |
| 1 Jan. Bank | 12,85,000.00 | |

Notice that both the Bank Account and the Motor Vehicles Account are real accounts. The balance at the bank (not shown here) is one of the assets of the business, just like the motor vehicle we have purchased.

The meaning of debit and credit entries

Printed ledger paper often carries the abbreviations Dr. and Cr. at the tops of the pages. The simple rule:

**Debit the receiver – Credit the giver**

Always debit the account that has received goods, services or money.
Always credit the account that has given goods, services or money.

Here are some detailed aspects of this rule for the three classes of accounts.

**(a) Personal Accounts**
Debit the person who receives value (goods, services or money). He/she will thus become a debtor of the business.

Credit the person who gives value (goods, services or money). He/she will thus become a creditor of the business.

**(b) Nominal Accounts**
Debit the loss accounts, which have received in name only" the benefits from money expended. Examples are Postage Account and Motor Vehicle Expenses Account.

Credit the profit accounts, which have given in name only benefits to the business. Examples are Commission Received Account and Fees Received Account.

**(c) Real Accounts**
Debit the asset account (Motor Vehicles Account, for instance) when the stock of the assets increased. The asset has increased the resources of the business because money was spent against its supply.

Credit the asset account when the stock of the asset is reduced either by fair wear and tear or disposal of a worn-out or obsolete asset. The asset has given up some of its value in the service of the business.

Head of Accounts can also be divided in to 5 different categories as follows:

- Asset
- Liability
- Equity/Fund
- Revenue
- Expense

Accounting treatment of these accounts is as follows:

| Amount | Debit | Credit |
|---|---|---|
| Assets | ⇑ | ⇓ |
| Expenses | ⇑ | ⇓ |
| Liabilities | ⇓ | ⇑ |
| Equity/Fund | ⇓ | ⇑ |
| Revenue | ⇓ | ⇑ |

# 3 Maintaining Books of Account

## 3.1 Types of books, journal entries and different Books of Accounts

Journals are preliminary records through which transactions are captured and entered into the accounting system.

It is logically followed that since we only want summary amounts in our Ledger we need to record our detail entries in some place else first. What record(s) do we use to do this ? Journals are our preliminary records. All our transactions are first entered in a preliminary record called a journal or book of original entry. This process is called journalizing. After our business transactions have been entered in our journal(s), they are then periodically (usually monthly) summarized and totaled and then transferred (posted) to the General Ledger as summary entries.

**What type of information is included in the Journal Record?**
Entry Number

Date of each transaction

Names and/or the account numbers of the accounts to be debited or credited

Amounts of the debits and credits

Posting Reference-Account Number in the General Ledger

Explanation or description of the entry

Project Reference

The journals contain all the chronological (by date) information necessary to record debit and credit amounts in the accounts of the General Ledger.

Understanding journal entries is the key to accounting studies. Each financial statement preparation and presentation begins with a simple journal entry, whereby we determine which account should be debited and which should be credited.

After a transaction occurs and a source document is generated, the transaction is analyzed and entries are made in the general journal. A journal is a chronological listing of the firm's transactions, including the amounts, accounts that are affected, and in which direction the accounts are affected. A journal entry takes the following format:

Format of a General Journal Entry

| Date | Accounts | Posting ref. | Debit | Credit |
|---|---|---|---|---|
| mm/dd | Account to be debited | | xxxxxxx | |
| | Account to be credited | | | xxxxxxxx |

In addition to this information, a journal entry may include a short details that describes the transaction. There also may be a column for a reference number so that the transaction can be tracked through the accounting system.

The above format shows the journal entry for a single transaction. Additional transactions would be recorded in the same format directly below the first one, resulting in a time-ordered record. The journal format provides the benefit that all of the transactions are listed in chronological order, and all parts (debits and credits) of each transaction are listed together.

Because the journal is source from where the information first enters into the accounting system, it is known as the *book of original entry*.

### 3.2 Compound Journal Entries

The format shown above has a single entry for the debit and a single entry for the credit. This type of entry is known as a simple journal entry. Sometimes, more than two accounts are affected by a transaction so more than two lines are required. Such a journal entry is known as a compound journal entry and takes the following format:

Format of a Compound General Journal Entry

| Date | Accounts | Posting ref. | Debit | Credit |
|---|---|---|---|---|
| mm/dd | Account to be debited | | xxxxx | |
| | Account to be credited | | | xxxxxx |
| | Account to be credited | | | xxxxxx |

For example, if an expense is incurred in which part of the expense is paid with cash and the remainder placed in accounts payable, then two lines would be used for the credit - one for the cash portion and one for the accounts payable portion. The total of the two credits must be equal to the debit amount.

As many accounts as are necessary can be used in this manner, and multiple accounts also can be used for the debit side if needed.

## 3.3 Special Journals

The general journal is the main journal for a wide range of transactions. Of these, a business usually finds itself performing some types much more frequently than others. By grouping specific types of transactions into their own special journal, the efficiency and organization of the accounting system can be improved.

Some commonly used special journals:

- Cash receipts Journal
- Cash disbursement Journal

While a special journal may be organized differently from the general journal, it still provides the core transaction information such as date, debits and credits, and the relevant accounts.

## 3.4 Cash Book

Cash day book, usually known as cash book, of cash received and paid out. It may comprise of two day books: receipts day book, and payments day book. In most organizations a two column cash book is maintained, where both cash and bank transactions get recorded side by side. A two column cash book is preferred over single column as it reduces repetition of work and easy to handle (takes less space). In organizations/projects with more than one bank account however supplementary ledgers for separate bank accounts would be required since it would require more columns for each of those accounts and might get too messy if all these accounts are maintained in one single cash/bank book. In computerized system however these are not relevant.

In the two column cash book there will be some contra entries i.e. transfer of money from cash to bank (amount deposited) and vice versa (amount withdrawn from bank for office use). In all such cases both entries occur in the cash book and no ledger entry is required. This is indicated by a contra sign (C) in the folio column indicating thereby that the double entry aspect of this transaction is complete and it requires no posting to the ledger. Treatment of cheques in a double-column cash book is explained below:

- Cheques received and deposited into the bank on the same day: When the cheques received from the debtors are deposited in the bank on the day of receipt the entry is recorded in the bank column on the debit side of the cash book..

- Cheques received but deposited in the bank on a later date: At the time when cheque is received it is recorded in the cash column on the debit side of the cash book and the date on which it is deposited in the bank, Two steps are required:-

    a) Enter the same in the cash column on the credit side of the cash book "By Bank A/c" and

    b) Enter it in the bank column on the debit side of the cash book' 'To Cash A/c". Thus it assumes the form of Contra entry on the day of depositing the cheque into bank received earlier. However, if there is no information as to the date of deposit of the cheque, it should be assumed that the cheque was deposited in the bank on the date of receipt.

- Bearer cheques may be encashed at the counter of the bank or it may be deposited in the bank. In case it is en-cashed it should be recorded in the cash column on the debit side, in case it is deposited in the bank the same should be recorded in the bank column on the debit side of the cash book.

- Cuttings / alterations

  No cuttings or alterations should be made in the cash book or ledger. Correction fluid should also not be used. Any mistakes should be corrected by passing a rectification entry. This is done by passing a counter-balancing entry also known as a reverse entry. In special case if there is any cuttings, bookkeeper should sign and another respective person should counter sign.

- Writing cash book regularly

  The cash book should be written regularly. Normally, the backlog should not be more than one or two days. In case someone falls ill, another person should be asked to write the cash books temporarily. All cash balances should be inked up by the 7th of next month. Also remember that the Rough Cash Log forms a part of the official record and should not be destroyed.

### 3.5 Double column Cash book

A cash book has two sides- left hand & right hand. The left hand side indicate the debit & the right hand side indicate credit. Credit voucher have to be entered in the left hand column and the debit voucher have to be entered in the right hand column. Each side of the cash book is divided in to several columns. This is called the two column cash book because there are two columns for money (cash & bank).

Prepared by: Approved by:

## 3.6 General Ledger

A ledger is nothing but systematic organization of journal entries. Ledger (or *book of final entry*) is a record of accounts, each transaction is recorded individually (on a separate page) with its balance. The ledger summarizes values of financial transactions per account, which constitute the basis for the balance sheet and income statement. If a computer is procured with cash, its journal entry will be

| | |
|---|---|
| Computer | Dr |
| Cash | Cr |

A sample of general ledger is shown below

| **CMES<br>General Ledger** | | | | | | |
|---|---|---|---|---|---|---|
| **Name of Accounts Head** | | | | | | |
| **Date** | Particulars | **Folio No** | **Debit** | **Credit** | **Dr. or Cr.** | **Balance** |
| | | | | | | |
| **Total** | | | | | | |

Maintaining of ledger is a must in every accounting system. Its advantages are:

- Transactions relating to a particular person, item or head of expenditure' or income are grouped in the concerned account at one place.
- When each account is periodically balanced it reflects the net position of that account.
- Ledger is the stepping-stone for preparing Trial Balance/Receipts & Payments Accounts- which tests the arithmetical accuracy of the accounting books.
- Since the entries recorded in the journal are referenced into ledger the possibility of errors or defalcations are reduced to the minimum.
- Ledger is the destination of all entries made in journal or sub-journals.
- Ledger is the "store-house" of all information which is subsequently used for preparing final accounts and financial statements.
- Ledger is the book of final entry
- Transactions are posted in the ledger after the same have been recorded in the journal.
- Narration is not required.
- Folio of the journal or sub-journal is written.
- Ledger is the basis of preparing final accounts.
- Accuracy of the books is tested by means of list of balances.

- Debit and credit amounts of a transaction are recorded in two different sides of two different accounts.
- Ledger has two sides: left side is debit side right side is credit side.
- Every account in the ledger is balanced at appropriate time.

Ledgers include:

- **Fund ledger of** financial transactions with a Donor.
- **General (nominal)** ledger representing assets, liabilities, income and expenses.
- **Advance ledger** to keep track of advances paid to different parties
- **Sub Ledger of General Ledger.**

### 3.7 Petty cash in Imprest System

There are minor expenses in any office, which are too trivial to justify an entry in the main cash book. It would interrupt the cashier"s work to be asked for money for bus fares, postage and other small items. At the same time all such expenditures must be honestly and accurately accounted for. The solution is to appoint/engaged a specific person, who will be responsible for paying for all such minor items, recording them in the petty register.

The petty register is kept on the imprest system, which is a system whereby a certain sum of money is advanced for a particular purpose. The sum advanced will be deemed adequate for the purpose, say Tk. 10,000 or Tk. 20,000 for a short time, depending on the needs of the organization. The cashier maintain the petty cash register and counter sign by the another person.

**Advantages of the Imprest System**

The advantages of the imprest system are as follows:

a) It saves the time of the Accounts Personnel, who is a busy person with heavy responsibilities.

b) It trains young staff to be responsible about money and accurate in accounting for it.

c) The sum impressed is small, and unlikely to prove much of a temptation either to the person in charge of it or to others in the office.

d) It enables a great saving effected bythe posting of small items to the ledger accounts, since it uses an analysis system which collects these small items together into shortly/weekly or monthly totals. These are then posted to the ledger accounts. Individual items such as small payments to creditors are entered in a column headed „Ledger accounts".

# 4 Maintaining Books of Account

## 4.1 Sub ledger-Usefulness of maintaining sub ledger:

A sub ledger is a supplementary to general ledger. The sub ledger is necessary to show the breakdown of accounts of the general ledger. The control heads of accounts are to be found in the general ledger; subsidiary ledgers are necessary to know the details of the account. If we would like to know about the Samity- wise savings, we have to take the help of the subsidiary ledger. The opening of subsidiary ledgers for different heads of accounts depends on the organization management, i.e, the kind of information the management need through the subsidiary ledgers. The sub ledger shows detail for part of the accounting records such as property and equipment, prepaid expenses, etc. The detail would include such items as date the item was purchased or expense incurred, a description of the item, the original balance, and the net book value. The total of the sub ledger would match the line item amount on the general ledger.

The need for subsidiary ledger arises when detailed information about a particular head of account is not possible to get from the general ledger. Sometimes, there is a need to know the total balance contained in the subsidiary ledger in order to verify as to whether the balance of the control had in the general ledger on a particular date. The balance of the subsidiary ledger will be equal to the balance on the relevant head of account. This makes for easy check and balance.

While writing the subsidiary ledger, we have to keep in mind that the account that has been debited in the general ledger has to be debited in the relevant subsidiary ledger as well. The same principle has to be followed in the case of credit as well.

## 4.2 Asset Register, Inventory Register & Advance Register:

### a) Asset Register:

A Fixed Assets Register (FA Register) is a register, which shows all the permanent assets owned by an organization. The register shows the quantity and value of things like chairs, tables, fans, furniture, vehicles, land, buildings etc. It may also show where these assets are kept or used. Sometimes identification number is also put on the item and noted here. Any assets that are sold are also recorded here.

A Fixed Asset Register becomes very useful when the organization is growing and can help you check whether all these assets are in your possession. The total value of these assets can also be cross-checked with Balance Sheet or ledger. This is why most Agencies insist on this Register.

# CMES

## Fixed Asset Register

| Date | Particulars | Place of Use | Unit Value Tk. | Total Value Tk. | Identification No. | Remarks |
|---|---|---|---|---|---|---|
| | | | | | | |

### Physical Verification

Just keeping the register is not enough. You should verify the assets physically once in a while. How often you verify depends on your situation. If you have many field offices, you may want to verify the assets there every year. Assets, which are small and can be easily removed, should also be verified each year. When verifying the assets, you should get each department or location to prepare lists of assets they have in their custody. Someone from the main office can visit to crosscheck these. These lists then should be compared with the FA Register. This is called „reconciliation'. All variations should be investigated. Some assets may have to be written off because these have been lost or have become unserviceable.

### b) Inventory Register:

A stock (Inventory) register is maintained to keep record of goods received and issued. It is mainly used for items, which are not permanent. A record of medicines or of wheat bags would be kept in a stock register. Normally a stock register does not show value of the items received or issued. Inventory records are of two types; a) periodic, b) Perpetual.

**c) Advance Register for unit level: Sample:**

# CMES

## Advance Register (Unit Level)

Name of Unit:…….

Name of Project:…….

| Date of Advance | Recipient Name | Subject | Taka | Adjusted Date | Actual Expenses | Remarks |
|---|---|---|---|---|---|---|
| | | | | | | |

The amount of cash given out, as advances may be much higher. If there are a large number of advances, it is useful to record each advance in a program advance register/sub ledger. This helps to make sure all advances are accounted for.

### 4.3 Accounts receivable

Money which is owed to a organization by a customer for products and services provided on credit. This is treated as a current asset on balance sheet. A specific sale is generally only treated as an account receivable after the customer is sent an invoice.

To record a journal entry for a sale on account, one must debit a receivable and credit a revenue account. When the customer pays off their accounts, one debits cash and credits the receivable in the journal entry. The ending balance on the trial balance sheet for accounts receivable is always debit.

### 4.4 Accounts payable

Money which a organization owes to vendors for products and services purchased on credit. This item appears on the organization's balance sheet as a current liability, since the expectation is that the liability will be fulfilled in less than a year. When accounts payable are paid off, it represents a negative cash flow for the company.

## 4.5 Inventory Reconciliation:

Stock must be checked with the supplies and reconciled against receipts and issue.

An example:

You have 60 Pen in stock in your store room at 1 January

From 1 January to 31 March you buy another 1 Pen

From 1 January to 31 March you issued 26 pen

31. March there should be 35 pen in stock

You go to the store room and count how many pen there are in stock

You only find 34 pen. 1 is missing

This missing quantity can be identified only through reconciliation and physical verification

## 4.6 Reconciliation of Fixed Asset

There shall be a reconciliation of the fixed asset inventory against the books and records maintained by the Department, either on the Fixed Asset Subsystem or other documented methods. This reconciliation is to be done, at a minimum, on an annual basis. This reconciliation shall be available for audit either by the department"s internal auditors or the external auditors Accounts Department will maintain supporting documentation of fixed asset transactions available for examination by appropriate audit organizations.

## 4.7 Bank Reconciliation

Bank reconciliation is done to reconcile bank book balance with the balance of bank statement so as to identify any outstanding cheques or outstanding lodgement.

For example
One cheque of Tk. 30,000 was received on 31st dec which was debited in the bank book and deposited into bank on the same day. The bank book balance arrived at Tk. 500,000 on 31st Dec after that entry.
But bank will credit the amount when it will be cleared. Assuming the cheque was cleared in 1 Jan next year.
Balance in the bank statement was showing Tk. 470,000. Therefore the reconciliation statement on 31st Dec will be made as follows:

| | |
|---|---|
| Balance as per bank book o | Tk. 500,000 |
| Less: Cheque deposited but not cleared | Tk. 30,000 |
| Balance as per bank statement | Tk. 470,000 |

**Preparing a Bank Reconciliation**

You need two things to prepare bank reconciliation. Your Pass Book and Your Cash Book or Ledger containing the Bank Account; proceed as follows, with extreme caution:

- Ticking Off common items

  - First decide the period for which you want to reconcile..
  - Compare the opening balance of the Passbook and the Ledger.
  - If there is a difference in the opening balances, locate the previous reconciliation. Your auditors will probably have a copy.
  - Now you have to start ticking off the common items in the passbook and the ledger.
  - For this see the first entry in the ledger and locate this entry in the passbook also (in Deposits column).
  - Compare both the entries - are the amounts same? If there is a small difference, it may be due to collection charges. Note the difference separately.
  - Tick off both the entries if these match.
  - In this manner, tick off all matching entries on debit side right up to closing date.
  - now look at the Credit side of the ledger. Compare these entries with those in Withdrawal column of passbook. Match cheque numbers also if possible.
  - Tick off all common entries one by one.

- Correcting Ledger Balance

Now we can prepare the first part of the Reconciliation:

  - Take a fresh sheet of paper and note down the closing balance as per ledger.
  - From this deduct any bank charges (or collection charges) or cheques that may have been dishonored.
  - This will give you the corrected ledger balance

- Reconciling the Pass Book balance:

  - note down the balance as per passbook.
  - to this balance add those cheques, which have been deposited but not yet cleared. You will find these as unticked items on the Debit side of the ledger.

- The previous reconciliation shows the unticked items of the previous ledger. Compare these with the passbook and tick off pencil or pen; (iv) Previous reconciliation, if there all the items that match. Rest of the items will appear again in was difference in opening balance. After having the new reconciliation.

- In case of cash book, see entries on Receipts side.
    - If the cash book is not updated, note the balance from your chequebook counterfoil.
    - If there is no difference, then it is only a temporary relief.

- In case of cash book, see entries on Payments side.
- Later on, you should pass entries for these in your ledger or cash book.
    - [redacted] appear as unticked items on the Credit side of the ledger.
    - The resulting balance should be the same as the corrected Ledger balance.

If a difference remains, scan the passbook and ledger for unticked items. Check the totalling and the manner in which you have added or deducted items. If the difference still remains, you will have to tick the items again. Use a different color pen this time. And be more careful! Follow-up Steps After reconciling the bank, you must look into the items that appear on the list. Pass entries in the ledger for bank charges, interest etc. Pass entry for dishonored cheque also. Depending on reasons for dishonor, talk to the concerned party or your bank.

If the amount for any cheque, which you issued, is different from your records, approach the bank immediately. Find out the reason for the difference. If there is a mistake at the bank, have it corrected. If there is an unauthorized alteration, consult your auditors. A bank reconciliation format is given as follows:

**Centre for Mass Education in Science (CMES)**

**Bank Reconciliation Statement**
**as on ——————**

**Name of Bank:**

**Account No. :**

**Balance as per Bank Statement**
**Add: Cheques cashed but not entered into Cash Book**

| Date | Cheque No. | Tk. |
|---|---|---|
| _____ | _____ | _____ |
| _____ | _____ | _____ |
| _____ | _____ | _____ |

**Add: Cheques entered into Cash Book but not credited by Bank**

| Date | Cheque No. | Tk. | |
|---|---|---|---|
| _____ | _____ | _____ | |
| _____ | _____ | _____ | |
| _____ | _____ | _____ | Tk. ——— |

**Less: Cheques issued but not presented for Payment**

| Date | Cheque No. | Tk. | |
|---|---|---|---|
| _____ | _____ | _____ | |
| _____ | _____ | _____ | |
| _____ | _____ | _____ | Tk. ——— |
| | | | Tk. ——— |

**Balance as per Cash Book**

**Prepared By** **Authorized by**

# 5 Preparation of Trial Balance

## 5.1 What is a Trial Balance ?

Trial balance is a list of GL account balances. it is an attempt to check the accuracy of the book keeping by striking a balance of the books. Since a debit entry is never made without a corresponding credit entry, a list of all the items entered on the debit side should balance, or agree, with a list of items on the credit side. This is called striking a balance, and it should reveal any mistake of double entry.

## 5.2 Why does it tally?

In double-entry bookkeeping, each entry on debit side has an equal entry on the credit side. So if we add up all the entries on the debit side, they will match the total of all the entries on the credit side. This will ensure accuracy of all entries.

## 5.3 Periodic Trial Balance

Most NGOs prepare a periodic trial balance. This includes the entries / balances for current period only.

## 5.4 Financial Statement

**Component of Financial Statements**

i. Receipts and payment account
ii. Income and expenditure Account
iii. Balance sheet
iv. Cash flow statement (not used by NGO)
v. Notes to the accounts –( where break down of a balance sheet and income expenditure item is presented)

## Receipts And Payments Account

A Receipts and Payments Accounts is simply a summary of the Cash Book, i.e. of all cash transactions of a particular period, analyses or classified under suitable headings. The following are the features of the Receipts and Payments Accounts:

1. It commences with the opening balance of cash in the hand or at bank. This is put, naturally, on the debit side.

2. Only actual cash transactions will be shown in the Account. Receipts of cash (or cheque) are put on the debit side and payments on the credit side. Both receipts and payments are classified under suitable headings.

3. The difference between the two side represents cash in hand or balance at bank, if the debit side exceeds credit. If, however, the credit side exceeds the debit side, it represents the in bank overdraft.

**RECEIPTS AND PAYMENTS ACCOUNT FORMAT**

| RECEIPTS | TAKA | PAYMENTS | TAKA |
|---|---|---|---|
| Opening Balance<br>Cash in hand<br>Cash at Bank | | Revolving loan Disbursed | |
| Grants | | Salary and Allowances | |
| Loan from Bank | | Office Rent | |
| Revolving loan Realized | | Office Supplies | |
| Service Charge | | Travelling and conveyance | |
| Member's Saving realized | | Interest on saving from Members | |
| Bank interest | | Interest on loan from Bank | |
| | | Bank Charge | |
| | | Closing Balance<br>Cash at Bank<br>Cash in hand | |
| Total | | Total | |

**Income and expenditure statement**

An Income and Expenditure Account is similar in form to the Profit and Loss Account of a trading concern. Income expenditure account is prepared for the organization not engaged in trading.

Adjustments are to be made to both income and expense amounts due and amounts prepaid, so that the exact amount for the period is stated in the account. Such items as depreciation of fixed assets are also to be brought into account. The final balance of the account represents a surplus of income over expenditure or a surplus of expenditure over income for the period. This is added to or deducted from an account called the Capital Fund or Accumulated fund or General Fund.

The following steps are necessary in order to prepare an Income and Expenditure Account from a given Receipts and Payments Accounts relating to a particular period:

1. Pick up from the credit side of Receipts and Payments Accounts the revenue items of expenses relating to the accounting period, adjust these items for outstanding and prepaid and show the adjusted figure of the debit side of the Income and Expenditure Account (which is to be ruled exactly in the form of a Profit and loss Account).

2. Pick up the items of revenue incomes relating to the accounting period under review from the debit side of Receipts and Payments Account adjust the items for outstanding and prepaid and show the adjusted income on the credit side of the Income and Expenditure Account.

3. Now ascertain the charges like depreciation etc. (which are not cash transactions) to be debited to the revenue account for the period and show such charges on the debit side of the Receipts and Payments Account.

4. Now balance the Receipts and Payments Account. Credit balance indicates excess of income over expenditure and debit balance excess of expenditure over income. Transfer this balance to the capital fund or Accumulated Fund or General fund.

**INCOME AND EXPENDITURE ACCOUNT FORMAT**

| EXPENDITURE | TAKA | INCOME | TAKA |
|---|---|---|---|
| Salary and Allowance | | Service Charge | |
| Office Rent | | Bank Interest | |
| Office Supplies | | | |
| Travelling and Conveyance | | | |
| Interest on savings from Members | | | |
| Interest on loan from Bank | | | |
| Bank Charge | | | |
| Excess of Income over expenditure | | Excess of expenditure over Income | |
| | _____ | | _____ |
| Total | ========== | Total | ========== |

| **INCOME STATEMENT**<br>(OF MICROFIANCE PROGRAM ONLY) | |
|---|---|
| | For whole year of …… |
| FINANCIAL INCOME | |
| Interest Income on Current & Past Due Loans | |
| Interest Income from other Investments | |
| Loan Fees | |
| Late Fees on Loans | |
| Total Financial Income | |
| FINANCIAL COSTS OF LENDING FUNDS | |
| Interest paid and payable on debt | |
| Interest paid and payable on clients Savings | |
| Total Financial Costs | |
| GROSS FINANCIAL MARGIN | |
| Provision for Loan Loss | |
| NET FINANCIAL MARGIN | |
| OPERATING EXPENSES | |
| Salaries an d benefits | |
| Administrative Expense | |
| Occupancy Expense | |
| Travelling and Training | |
| Depreciation | |
| Others | |
| Total Operating Expenses | |
| NET INCOME FROM OPERATIONS | |
| Income from Grants for Credit Services | |
| EXCESS OF INCOME OVER EXPENDITURE | |

## Balance Sheet

A Balance Sheet is a Principle financial statement, which shows the assets, liabilities and owner's equity of an organization on any given date. It provides a clear picture about all sources and uses of funds and the overall financial position of an organization. From a balance sheet we easily understand that, how the assets are funded by borrowers (the liabilities) and by the proprietors (the capital). Based on accounting equation we usually prepare Balance Sheet. The Accounting equation is:

**Asset = Liability + Net Worth/Owner's/Fund**

From the following discussion we can get a clear idea about the balance and how we can prepare a balance sheet. Samples of a balance sheet is as follows:

**A sample Balance Sheet is presented below:**

| "X" Organization<br>Balance Sheet<br>As at ..... | | | | |
|---|---|---|---|---|
| | **PARTICULARS** | **Note** | **Amount** | **Amount** |
| | **ASSETS** | | | |
| B1 | Cash and Bank Account | | | |
| B2 | Stock of Program material | | | |
| B3 | Advances to suppliers | 1 | | |
| B4 | Other current assets (house rent, advance to staffs, prepaid expense ie, card.) | | | |
| B5 | Total Current Assets (B1+.....+B4) | | | |
| | | | | |
| B6 | Property and Long term assets | 2 | | |
| B7 | Less:(Accumulated Depreciation) | | | |
| B8 | Total Net Long Term Assets (B6 – B7) | | | |
| B9 | Total Assets (B5+B8) | | | |
| | | | | |
| | **LIABILITIES AND NET WORTH** | | | |
| | Liabilities | | | |
| B10 | Borrowing | 3 | | |
| B11 | Payables ie. utilities, materials. | | | |
| B12 | Other Current liabilities (Accrued Salaries) | | | |
| B13 | Total Liabilities (B10+…+ B12) | | | |
| | | | | |
| | Net Worth | | | |
| B14 | Funds and grants | 4 | | |
| B15 | Retained net surplus/(Deficit) prior years | | | |
| B16 | Current year net surplus/(Deficit) | | | |
| B17 | Total net worth (B14+.....+B16) | | | |
| B18 | Total Liabilities And Net Worth (B13 + B17) | | | |

**B1 Cash and Bank Account —** All balances available to the organization on a demand basis such as cash, and funds on deposit in non-service charge bearing accounts.

**B2 Stock of Program Material —** All kinds of materials related with program such as books, stationery etc.

**B3 Advances —** Advances to staff, event, training etc.

**B4 Other current assets —** Assets, which do not appear above, such as house rent, advance to staffs, pre-paid expense ie, card etc.

**B6 Property and Equipment —** Property and equipment are long term/fixed assets and they are recorded at their acquisition price.

**B7 Accumulated Depreciation —** This represents the sum of depreciation expenses recorded in the current and previous financial periods.

**B8 Total long term asset —** The recorded value of the property and equipment after deducting accumulated depreciation.

**B9 Total Assets —** Total assets represent sum of total current assets and total long term/fixed assets.

**B10 Borrowing —** The outstanding amounts that owe to banks or other financial institutions, which are due to repaid within one year.

**B11 Payables —** Liabilities appeared as the payment for goods and services were not honored.

**B12 Other current liabilities —** Liabilities, which do not appear above, such as accrued salaries etc.

**B13 Total Liabilities —** Sum of the of current and long-term liabilities.

**B14 Funds and Grants—** Funds and grants taken from donor agencies or other charitable organizations to run programs.

**B15 Retained net surplus/(Deficit) prior years —** The amount of income (or loss) generated in the previous years and retained by the organization.

**B16 Current year net surplus/(Deficit)—** The amount of income (or loss) generated in the current year.

**B17 Total Net worth—**Sum of Funds and grants and Current year net surplus/(Deficit).

**B18 Total Liabilities and Net worth—** Sum of Current Liabilities, Long term Liabilities, and Net worth

| **BALANCE SHEET**<br>(OF MICRO FIANANCE PROGRAM ONLY) | |
|---|---|
| | As of Dec.31.– |
| ASSETS | |
| Cash in hand | |
| Cash at Bank (Current & Savings) | |
| Loan Outstanding: | |
| Current Loans | |
| Past Due Loans | |
| Restructured Loans | |
| Total Loans Outstanding | |
| (Loan Loss Reserve) | |
| Net loans Outstanding | |
| TOTAL CURRENT ASSESTS | |
| Long term investments | |
| Property, Fixed Assets & Equipment: | |
| Cost | |
| (Accumulated Depreciation) | |
| Net Property & Equipment | |
| TOTAL LONG-TERM ASSETS | |
| **TOTAL ASSETS** | |
| LIABILITIES & NET WORTH | |
| LIABILITIES | |
| Short term Borrowers | |
| Clients Savings | |
| **TOTAL CURRENT LIABILITIES** | |
| Long term Debt (Commercial rate) | |
| Long term Debt (Confessional Rate) | |
| Deferred Revenue | |
| TOTAL LONG TERM LIABILITIES | |
| TOTAL LIABILITIES | |
| **NET WORTH** | |
| Loan fund Capital | |
| Retained Net Surplus/ (Deficit) Prior years | |
| Current year Net Surplus/ (Deficit) | |
| TOTAL NET WORTH | |
| TOTAL LIABILITIES & NET WORTH | |

## EXCERSISE ON PREPARING RECEIPTS AND PAYMENTS ACCOUNTS, INCOME AND EXPENDITURE ACCOUNT AND BALANCE SHEET

Using the following information, prepare Receipts and payments Accounts and Income and Expenditure Account for the year ended on 31 December 2000 and balance sheet as on 31 December 2000 .

| | |
|---|---|
| Grants | 2,000,000 |
| Loan from Bank | 500,000 |
| Member"s savings realized | 150,000 |
| Bank Interest Received | 1,645 |
| Revolving loan Disbursed | 4,411,000 |
| Revolving Loan Realized | 1,765,000 |
| Service Charge | 264,750 |
| Salary and Allowance | 132,000 |
| Travelling and Conveyance | 24,000 |
| Office Rent | 60,000 |
| Interest on loan from Bank | 40,000 |
| Interest on Savings from Member | 4,500 |
| Bank Charge | 920 |
| Cash in Bank (Closing) | 8,900 |
| Cash in hand (Closing) | 75 |

## ANSWER TO PREPARING RECIPTS AND PAYMENTS ACCOUNT, INCOME AND EXPENDITURE ACCOUNT AND BALANCE SHEET EXERCISE

### RECEIPTS AND PAYMENTS ACCOUT FOR THE YEAR ENDED ON 31 DECEMBER 2000

| RECEIPTS | TAKA | PAYMENTS | TAKA |
|---|---|---|---|
| Grants | 2,000,000 | Revolving loan Disbursed | 4,411,000 |
| Loan from Bank | 500,000 | Salary and Allowances | 132,000 |
| Member's Saving realized | 150,000 | Travelling and conveyance | 24,000 |
| Revolving loan Realized | 1,765,000 | Office Rent | 60,000 |
| Service Charge | 264,750 | Interest on loan from Bank | 40,000 |
| Bank interest | 1,645 | Interest on saving from Members | 4500 |
| | | Bank Charge | 920 |
| | | Closing Balance | |
| | | Cash at Bank | 8,900 |
| | | Cash in hand | 75 |
| Total | 4,681,395 | Total | 4,681,395 |

,

## INCOME AND EXPENDITURE ACCOUNT
## FOR THE YEAR ENDED ON 31 DECEMBER 2000

| EXPENDITURE | TAKA | INCOME | TAKA |
|---|---|---|---|
| Salary and Allowances | 132,000 | Service Charge | 264,750 |
| Travelling and Conveyance | 24,000 | Bank Interest | 1,645 |
| Office Rent | 60,000 | | |
| Interest on loan from Bank | 40,000 | | |
| Interest on savings from Members | 4,500 | | |
| Bank Charge | 920 | | |
| Excess of Income over Expenditure transferred to Accumulated fund | 4,975 | | |
| Total | 266,395 | Total | 266,395 |

**BALANCE SHEET**
**AS ON 31 DECEMBER 2000**

| FUND AND LIABILITIES | TAKA | PROPERTY AND ASSETS | TAKA |
|---|---|---|---|
| FUND ACCOUNT | | FIXED ASSETS | Nil |
| Balance on 1.1.2000 | Nil | | |
| | | CURRENT ASSETS | |
| Add : Grants received during the year. | 2,000,000 | Revolving loan Outstanding | 2,646,000 |
| | | Cash at Bank | 8,900 |
| Add: Excess of Income over Expenditure for the year | 4,975 | Cash in hand | 75 |
| | 2,004,975 | | |
| Loan from Bank | 500,000 | | |
| Member"s Savings | 150,000 | | |
| Total | 2,654,975 | Total | 2,654,975 |

# 6 Budget Preparation

**Objectives:** On completion of the session participants will be able to
- Prepare budget and budget variance analysis

**Contents :** -
- Types and Preparation
- Techniques of budgetary control
- Budget variance analysis

**Time :** One hour and thirty minutes

**Methods :** Lecture, Discussion and Question-Answer

**Materials :**
- Multimedia projector/OHP
- Handouts: Budget Preparation

**Session Conduction Process**

| Step | Process | Time |
|---|---|---|
| Step 1 | Explain that the key financial planning tools familiar to most organizations is the budget<br>Ask participants to try to define what is budget and budgeting. Note their comments on the board and finally arrive at a general definition and show the TS or PowerPoint presentation<br>Next define the different type of budgets in terms of volume of activities, time frame, location and responsibilities | 35 min |
| Step 2 | Ask to the participants how they undertake the process of budget within their organization. What problems do they face, and how they think to overcome the problem<br>The facilitator should narrate into a discussion who responsible for preparation of budget and how that responsibilities can be shared. | 35 min |
| Step 3 | Facilitator will discuss the importance of budget variance analysis. If anything requires more clarification and discussion, facilitator will repeat and in fine, facilitator will give a Quiz to answer and discuss it. After that thanks the participants for their cooperation to make the session successful. | 20 min |

## 6.1 Budget

1. Budget definition

A budget is a plan of action or document of formal financial planning and control. It is a quantitative statement of goals and objectives expressed in monetary terms. Chartered Institute of Management Accountants, London, defines budget as: "A plan quantified in monetary terms, prepared and approved prior to a defined period of time, usually showing planned income to be generated and/or expenditure to be incurred during that period." Thus, a budget is a projection or estimation of future output, costs and revenues. Generally a year is the basic time frame, though it can be almost any length of time –quarter, month, week or a day. Thus, a budget expresses the future revenue and expense based on historical information.

*Distinctive features of a budget are:*

1. It is prepared, generally, a year in advance of the operations.
2. It is a guide or blueprint for the forthcoming period.
3. It is expressed in monetary terms.

**2. Advantages of Budget**

Followings are the more significant advantages of budgeting:

- **Forced planning.** Budgeting compels management to plan for future. Budgeting helps management to look ahead and become more effective and efficient in administering business operations.

- **Coordinated operations**. Budgeting helps to coordinate, integrate and balance the efforts of various departments in the light of the overall objectives of the organization.

- **Effective communication**. Budgeting improves the quality of communication among the personnel. Organization objectives, budget goals, plans, authority and responsibility and procedures to implement plans are written and communicated through budgets with all individuals in the organization. This results in better understanding and harmonious relations among managers and subordinates.

- **Optimum utilization of resources.** Budgeting helps to optimize the use of the firm's resources – capital and human resource.

- **To provide basis for performance evaluation:** After management approves the budget, it becomes a yardstick for actual performance. A continuous comparison is made to evaluate the actual with budgeted results.

**3. Types of Budget**

Three important components of the master budget are: (I) operating budgets, (ii) financial budgets, and (iii) capital budgets.

### A. Operating Budgets

Operating budgets relate to the planning of the activities or operations of the organization, such as production, sales and purchases.

### B. Financial Budgets

Financial budgets are concerned with the financial implications of the operating budgets –the expected cash inflows and cash outflows, financial position and the operating results. The important components of financial budgets are: cash budget, proforma balance sheet and income statement and statements of changes in financial position.

#### Cash Budget

Cash budget is the most important component of financial budgets. Efficient management always keeps cash balance at optimum level; too little cash endangers the liquidity position of a organization, and too much cash tends to impair profitability.

#### Proforma Financial Statements

Proforma financial statements – balance sheet and income statements, where estimated financial statements are made beforehand.

### C. Capital Budgets

Capital budget involves the planning to acquire worthwhile projects, together with the timings of the estimated cost and flows of each project. Such projects require large sum of funds and have long-term implications to the firm.

## 4. Project proposal: Budget preparation tips

Budget are prepared on the project planning, but during preparing of budget few things should be considered or keep in mind.

1. **The budget and proposal copy must be mutually reinforcing.** Proposal budgets directly reflect the depth of project planning. A poorly articulated budget may be evidence of an ill-designed project. A reader should never be surprised by finding any line item in the budget not referred to in the narrative plan of operations.

2. **Budgets should be reasonable.** Funding source staff have years of experience in reviewing budgets. They know when a budget is inadequate for the tasks proposed, and they know a padded budget when they see one. Do not underestimate their expertise.

3. **Create a budget by analyzing the tasks needed to complete each activity.** One of the easiest ways to develop a budget is by identifying the individual tasks that must be performed to achieve an objective and breaking those tasks down into a series of logical steps.

4. **Avoid lump sum requests; be as detailed as possible.** Budget details help justify a request. For instance, a budget requesting a flat $1,000 for "travel" will pale beside a travel request that identifies specific destinations and breaks down the total amount requested into airfare, ground transportation, lodging and meals.

5. **Allow for inflation**. Salaries, fringe benefits (health insurance), utilities, rental and transportation costs often increase each year.

6. **Follow the funding source guidelines.** Do not hesitate to call a funding source with specific questions about allowable costs.

7. **In-kind contributions are a legitimate budget item.** In-kind contributions are non-cash donations of materials, property, facilities, and/or services such as staff or volunteers" time. One way to conceptualize an in-kind item is to think of it as a contribution in which money does not change hands directly.

8. **Give focus on operation during allocation cost:** Try to allocate expenses more on directly related to the beneficiaries.

**5. Guidelines for preparing Budget**

Following are the few guidelines for preparing a budget

1. A budget becomes a part of your project proposal
2. Prepare your budget after you write your project proposal.
3. Know your donor's budget requirements
4. Budget should have accurate/realistic financial data. Obtain necessary information about costs
5. Define budget timeframe
6. Prepare for delays and inflation
7. Develop simple comprehensive budget format with line items, unit costs and total
8. List other sources of funding, including local contribution.
9. Have your budget reviewed by colleagues.

## 6.2 Budget Preparation

One should remember the following when planning budgets

- Budgets are planned expectations of performance in terms of the financial achievement of an operation.
- Budgets may also be known as financial plans, targets and objectives.
- Budgets assist managers to achieve financial targets. This includes the effective use of resources in the project implementation. Managers understand that, while budgets are explained in financial terms, they are a representation of the performance of people and resources and can be used as a measure of productivity/efficiency.
- Predicting the source of fund of a project and making an accurate estimation of cost elements of the project is critical to the budget planning process.
- A series of steps should be used in the preparation of the budget, however these may differ from operation to operation.

**Important Notes:**
When making a budget, don't forget the following:

- **Inflation:** When you are giving a budget for the first time to an agency, they may take a long time to evaluate and approve your budget. By the time it is approved, your estimated rates will become useless. Renegotiate the budget at the approval stage. When budgeting for one year, remember that prices will go up gradually over the year (approximately 10% each year). When budgeting for more than one year, provide for next year"s inflation also.

- **Salaries:** Salaries rise because of inflation. But they also rise due to increased experience. Budget extra amounts (5% or so) for salary, over and above the inflation.

- **Accountant's Salary:** Ask for some share of the Accountant's salary in each budget. Each agency that gives funds and expects accountability should bear some proportion of the accountant"s salary.

- **Audit Fees:** Don't forget the auditors either. Their fees will rise when your work increases. Basis of Calculation: Give the basis of calculation of each and every line item. Where it is a lump sum, say so.

- **How much can you grow:** When you prepare a budget, keep both your feet firmly planted on the ground. Overall growth beyond 30% a year will give you head-aches. Quality of your work may suffer.

- **Local Contribution:** Don't give in too easily on this just because the agency insists on this. Assess how much you can really rise in cash? How much in labor? How many in materials?

- **Name of Organization:** Put the name of your organization on top of each of the budget sheets. That way these will not get mixed with others. Also put the name of the program if possible.

- **Budget Period:** Sheets from different years get mixed up very easily over a period. Give the budget period at the bottom of each sheet.

- **Revision Date:** Often you may have to revise your budget several times. Type the revision date at the bottom of each sheet every time. Give this date the first time also.

- **Final Budget:** With so many budgets floating around, it"s a good idea to mark the final approved budget clearly as „Final Budget; Approved on __**Budget Preparation**

### 6.3 Cash Budget Techniques of budgetary control

Controlling the budget involves the regular and continued comparison of actual performance against that of the standard set in the budget. This ensures that the project is aware of its financial goals, whether it is meeting those goals, and, if not, where to look to find the problem area.

When reviewing the budget performance of a Project any significant variances between budgeted figures and actual figures need to be identified. This will, hopefully, enable the cause of variance to be ascertained and corrective action to be taken. In order to achieve budgetary objectives it is critical that the early detection of variances is a priority. It is often the case that small variances become large headaches quickly, as the problem compounds over the budget period.

## The process for budgetary control

Variance analysis

The budget is controlled by a process called variance analysis. Daily, weekly, or monthly actual performance figures are entered and reported on the organization"s budget position sheets. These actual performance figures are compared with the budgeted figures and resulting difference is evaluated. This difference is called the variance.

**Variance = budget (benchmark) - actual**

In NGO Sector, budget variance analysis is very common. It is a requirement of NGO Affairs Bureau to submit budget variance analysis along with audited statement of accounts of an NGO.If the budget figure is greater than the actual performance figure, then we have a positive, or favorable variance. This means we have spent less than we had allowed to be spent in the budget. If the actual performance figure is greater than the budget figure, then we have a negative or unfavorable variance that is we have spent more than we had allowed for in the budget. A simple demonstration is shown in the diagram below.

# 7 Users of Financial Statements

EXTERNAL USERS

a) Donors/Grantors/Funding Agencies
- Extent of attainment of development objectives as indicated in financial statements and reports.
- Extent of compliance of agreed amount and manner of using funds.
- Extent of compliance with prescribed financial accounting and reporting system and procedures

b) Creditors (Banks/Financing Institutions)
- Information on ability to pay as indicated by ratios of solvency, liquidity, and stability as well as status of their security.

c) Government Agencies
- Compliance with laws, government rules and regulations, payment of taxes (if any) and reportorial requirements

d) General Public
- Effect of the activities of NPOs to the community and society in general

e) INTERNAL USERS
- Members
  - What happened with fees, donations, grants, fundraising activities.
  - Other information needs such as managerial remuneration, use of assets,
  - management efficiency, etc.

- Management Team
  - Board of directors/trustees for policy-making, strategic decision-making, and fulfilling its trusteeship/stewardship role.
  - Executive Director for operational decision-making
  - Program/project managers for project-program related decision-making

# 8 Qualitative Characteristics of Financial Statements

Every financial statement must contain some qualitative characteristics that make the information in financial statements useful to various NPO stakeholders, who are the users of the information. An essential quality of the information provided is its understandability by the users.

a. Relevance. Information must be relevant to decision-making needs of users, in order for it to be useful. It is relevant when it influences the decisions of users by helping them evaluate past, present or future events or confirming, or correcting their past evaluations.

    1. Materiality. Information is material if its omission or misstatement could influence the decision of users taken on the basis of the financial statements.
    2. Timeliness. If there is undue delay in the reporting of information, it may lose its relevance.

b. Reliability. Information is reliable when it is free from material error and bias and can be depended upon by users to represent faithfully that which it either purports to represent or could reasonably be expected to represent.

    1. Faithful Representation. To be reliable, information must represent faithfully the transactions and other that events it either purports to represent or could reasonably be expected to represent.
    2. Substance over Form. Transactions and other events are accounted for and presented in accordance with their substance and not merely their legal form.
    3. Neutrality. Information must be free from bias. Financial statements are not neutral if, by selection or presentation of information, they influence the making of a decision or judgment in order to achieve a predetermined result or outcome.
    4. Prudence. It is the inclusion of a degree of caution in the exercise of the judgments needed in making the estimates required under conditions of uncertainty, such that assets or revenues are not overstated and liabilities or expenses are not understated.
    5. Completeness. Information must be complete within the bounds of materiality. An omission can cause information to be false or misleading and thus unreliable and deficient in terms of its relevance.

c. Comparability. Users must be able to compare the financial statements through time in order to identify trends in its financial position and performance.

d. Understandability. An essential quality of the information provided in financial statements is that it is readily understandable by users.

**Balance between Qualitative Characteristics**

In practice, a balancing, or trade-off, between qualitative characteristics is often necessary. Generally, the aim is to achieve an appropriate balance among the characteristics in order to meet the objective of financial statements. The relative importance of the characteristics in different cases is a matter of professional judgment.

**Fair Presentation**

Financial statements are frequently described as presenting fairly the financial position, performance, and changes in financial position of an NPO. Although this framework does not deal directly with such concepts, the application of the principal qualitative characteristics and of appropriate accounting standards normally results in financial statements that convey what is generally understood as presenting fairly such information.

**Matching Concept**

The matching concept is an accounting principle that requires the identification and recording of expenses associated with revenue earned and recognized during the same accounting period. Accordingly, under the matching concept the expenses of a particular accounting period are the costs of the assets used to earn the revenue that is recognized in that period. It follows, therefore, that when expenses in a period are matched with the revenues generated for the same period, the result is the net income or loss for that period.

# 9 Accounting Elements

Financial Position: The elements directly related to the measurement of financial position are assets, liabilities, and equity.

a. Asset is a resource controlled by the organization as a result of past transactions or events and from which future economic benefits or service potential are expected to flow to the organization.

b. Liability is a present obligation of the organization arising from past transactions or events, the settlement of which is expected to result in an outflow of resources from the organization embodying economic benefits or service potential.

c. Equity is the residual interest in the assets after deducting all its liabilities. In business organizations, equity denotes net ownership of the organization.

   NGOs do not have specific owners, thus residual value of assets does not accrue to the members. Assets are intended for specific purposes; the residual value of assets is intended for a specific purpose also. Therefore, it is not appropriate to use the term "Equity" in NPOs.

   In place of Equity, NGOs use "Net Assets". Net Assets is being used to emphasize the residual measure in the statement of financial position (assets less liabilities).

   The US GAAP, Chinese GAAP and IPSAS use "Net Assets", however, IPSAS 1.6 also states that "other terms may be used in place of net assets/equity, provided that their meaning is clear. In this regard, the respective national accounting standards setting body may define the appropriate term in the specific country. Many NPOs prefer "Net Asset" which is being used to emphasize the balance of a fund, which is defined as a sum set aside for specific purpose, as of any given date.

   Performance: The elements directly related to measurement of financial performance are revenue and expenses.

d. Revenue is the gross inflow of economic benefits or service potential during the reporting period when those inflows result in an increase in Net Assets.

e. Expenses are decreases in economic benefits or service potential during the reporting period in the form of outflows or consumptions of assets or incurrence of liabilities that result in decreases in Net Assets.

# 10 Recognition and Measurement

Recognition is the process of incorporating in the financial statements an item that meets the definition of an element. An item that meets the definition of an element should be recognized if:

a. it is probable that any future economic benefit or service potential associated with the item will flow to or from the organization;

b. the item has a cost or value that can be measured with reliability.

Measurement is the process of determining the monetary amounts at which the elements of the financial statements are to be recognized and carried in the financial statements. A number of different measurement bases are employed to different degrees and in varying combinations in financial statements:

a. Historical cost: Historical cost pertains to the original cost of an asset to an entity.

b. Fair value: Fair value is the amount for which an asset could be exchanged, or a liability settled, between knowledgeable, willing parties in an arm's length transaction.

c. Replacement cost: This is the amount it would cost to replace an asset at current prices.

d. Net realizable value: This refers to the net monetary gain of a transaction, i.e., the selling price of an asset less expenses.

e. Value in use: Value-in-use is the market value of an asset that reflects a value to a particular user, recognizing the extent to which the property contributes to the entity.

## 10.1 Source Documents

Source documents are prepared to provide evidence of each transaction. The basic rule here is "a document is prepared for every transaction at the time the transaction occurred"

| Transaction | Document |
|---|---|
| for Cash Received | Official Receipt (accompanied by validated deposit slip) |
| for Cash Disbursed | Cash Voucher (accompanied by invoice/request for payment/cash advance form) and the check stub. In the case of petty cash disbursements, the Petty Cash Voucher is the source document. |
| for Other Transactions | Journal Voucher (accompanied by supporting documents) |

The types of transactions and the representing documents are the basic requirements for NPOs. Other documents may be necessary if the transactions of a specific NPO become more complex such that there are more transaction types than the items enumerated above.

## 10.2 Journalizing

Transactions are recorded in the book of original entry called the Journal. The process of recording is termed as Journalizing. A transaction must be analyzed in its debit and credit elements before it is recorded in the books of accounts. Journalizing begins with the source document. The information in it tells the bookkeeper all that is needed for the entry.

The basic rule here is "every source document should be recorded in the appropriate journal on a daily basis or on a frequency which the NPO determines to be efficient".

**Category of Voucher-**

- **Debit Vouchers**

These vouchers are prepared for recording of transactions involving cash payments only. Cash payments in the business are made on account of :

- Expenses
- Purchases of Goods
- Purchases of Assets
- Payment to creditors
- Repayment of loans
- Drawings and advances etc.

All cash payments, one aspect is cash and the other is either the party to whom the payment is made, or an expense or an item of property for which the payment is made.

- **Credit Voucher**

These vouchers are prepared for recording of transactions involving cash receipts only. Cash receipts in the business are accepted on account of:

- Fund/Donation from Donor
- Cash sales of goods
- cash sales of assets
- revenue income like interest, rent, etc. received in cash
- Cash receipts from debtors.
- Loan taken
- Receipts of advances, etc.

In all cash receipts, one aspect is cash and the other is either person or party from whom cash is received or revenue on account of which cash is received or the property on sale of which cash is received.

**Journal Voucher**

The entries such as "Rectification Entries", "Adjustment Entries", "Closing or Opening Entries" and Making or Providing for estimates are passed through an internal document called Journal Voucher.

**Common situations where <u>Journal Vouchers</u> would be employed are to:**

- Cancel stale dated checks
- Correct erroneous cash disbursement amount
- Correct erroneous cash deposit amount
- Correct omitted cash disbursement entry
- Correct omitted cash deposit entry
- Enter Debit Memo
- Enter Credit Memo
- Interest Income
- Advance Adjustment
- Other

## 10.3 Voucher preparation procedure

Accounting vouchers are the written documents containing the analysis of business transactions for accounting and recording purpose. These are prepared by the accountant and countersigned by authorized person.
Features of Accounting vouchers are as :

- It is a written document.
- It is prepared on the basis of evidence of the transaction.
- It contains an analysis of a transaction i.e. which account is to be debited and which is to be credited.
- It is prepared by an accountant and countersigned by the authorized signatory.
- It will be prepared as per format prescribed in the Financial Manual.

## 10.4 Voucher Approval

The Department/Unit Organizer/Procurement & Purchase Committee will first approve an invoice or bill where the goods or services had been provided. The concerned Department/Unit Organizer/Procurement & Purchase Committee will ensure that the bill had been checked with CPF, work order, receiving report and forward the invoice along with the above documents to Accounts Department/Unit Accountant and take necessary action. Accounts personnel will prepare the debit voucher and write down appropriate account head (if applicable) on the voucher. The invoice/bill, voucher and all relevant documents are then forwarded to the ED/In charge (F & A)/UO, for the final approval.

## 10.5 Voucher Posting System

Accounts personnel (he/she) is responsible for the daily posting of all transaction in the books of accounts/accounting software package.

**Attachment of supporting documents**
The following supporting documents should have to enclose with every expenses voucher :
1.CPF,
2. Work order,
3. Receiving report
4. Bill/Invoice/Money Receipts
5. If any Other documents..

**Documents destroy procedure**
should preserve the source documents not less than 6 years or anything stated in donor guideline.
Following the categories of the transactions above, the primary books of original entry are

Following the categories of the transactions above, the primary books of original entry are

| Document | Journal |
|---|---|
| Official Receipt | Cash Receipts Book |
| Cash Voucher | Cash Disbursements Book |
| Journal Voucher | General Journal |

## 10.6 Posting

Posting is the procedure of transferring entries from the journal to the general ledgers and subsidiary ledgers. Posting should be done on a regular (daily or monthly) basis, depending on the volume and frequency of transactions. The ledger is an account form where all accounts taken together as one group are recorded.

## 10.7 Trial Balance

When all journalizing and posting have been completed at the end of the period, the Bookkeeper checks the accuracy of that work. A list is made of all ledger accounts and their balances; this is called Trial Balance.

## 10.8 Financial Statements

Financial statements are prepared to summarize the financial operation of the organization. This information allows the management to see how financially efficient the organization has been, to compare one period with prior periods, and to determine future courses of action. Financial statements may be communicated to other interested parties such as the Board of Directors, members of the organization, donors, government, etc.

# 11 Accounting Policies and Basis of Presentation

## 11.1 Basis of Accounting

1) CMES will follow Modified Cash basis of accounting, which is a Combination of Cash and accrual method.
2) Income will be recorded on Cash basis while Expenditures will be recorded on accrual basis.
3) Fixed assets will be stated at cost less accumulated depreciation. For the purpose of project, fixed assets will be recorded as per agreement with donors.
4) Inventory will be expensed as and when procured, since inventory predominantly consists of consumable items.
5) Advance will be accounted for when it is paid. Adjustment of advance will be made when expense is incurred. Unspent amount (if any) will be recorded as receipts when cash will be refunded.

   Considering the substance of transaction with regard to grant in aid, cash basis of accounting is preferred for recording of income.

## 11.2 Basis of Presentation

Financial statements presentation follows and conforms to generally accepted accounting principles and other relevant formats accepted internationally and as adopted for CMES general fund and recommendations and formats provided by development partners (if any) for projects.

## 11.3 Financial Statements

The financial statements prepared for CMES will identify its primary programs and their costs, disclose the control of development partners over the use of assets, and help the user to evaluate the organization"s ability to accomplish its objectives.

CMES will prepare the following financial statements:

a. Balance Sheet
b. Statement of Activity or the Income and Expenditure Statements;
c. Statement of Changes of Financial Position or the Receipts and Payments account; and
d. Note to Financial Statements.

## 11.4 Revenue, Support and Funds

Any grant/donation received by CMES from whatsoever source shall be accounted for as income during the year to the extent it related to that particular year. Any donation/grant received pertaining to the subsequent years shall not be recognized as income during the year any commitment of fund for a particular year, shall not be recognized in the year to which it relates.

Revenue from sale of goods and services is recognized when goods are sold or services are performed.

## 11.5 Expenditure

Any payment or obligation for payment for a particular year shall be recognized as expenditure in the year to which it relates. Expenditure accrued but not paid shall also be considered as expenditure in the year it was obligated.

Expenses will be identified by function. Expenses for specific program services (as applicable) and for supporting services will be presented separately for each significant program or activity. Costs, which are attributable to more than one function, will be allocated on a reasonable basis.

## 11.6 Payroll Management

Management is committed to maintaining salaries and benefits that are fair to all employees and competitive in the local marketplace. They will monitor changes in the economy and salary market to ensure that the overall compensation package is sufficient to attract, recruit and retain high quality staff within the financial capabilities of . At all times management will consider long term implications of changes in employee compensation as well as fairness to employees currently serving.

## 11.7 Employee Benefits

Employee benefits includes the following:-

- Festival Bonus
- PF
- Gratuity
- Group Insurance
- Family Benefits
- Benevolent Fund and etc.

## 11.8 Capitalization of Expenditure (Assets)

Fixed Assets shall be recorded at actual cost. The ownership of all fixed assets purchased by CMES shall be in the name of the organization.

Any asset purchased for the use of CMES shall be capitalized when it satisfies following three conditions:

11.8.1 Minimum value for capitalization of an asset is Tk. 5,000. Any asset whose purchase value is less Tk. 5,000 except office furniture, fixture and equipment shall not be considered as an asset and accordingly, shall be charged as expenditure.

11.8.2 Expected useful life of the asset must be for at least 2 years.

11.8.3 In case where cost of the asset is less than Tk. 5,000 but expected useful life is more than 2 years that item shall be considered as expense, however, a memorandum record of such items should be maintained separately for control purposes.

### 11.9 Donated Materials and Services

Significant donated materials should be recorded at fair value when received, unless their value cannot be determined or if the organization only passes the material on to a beneficiary.

### 11.10 Financial Year

CMES will follow calendar year consistently for preparation of financial statements of CMES General Fund and for all of its projects it will follow project mandate/agreement/MOU with development partners. In addition to that it will prepare need based financial statements and other analysis of accounts as it is so desired by the Management, Development Partners and Other regulatory agencies.

### 11.11 Currency

CMES will conduct all its financial transaction in Taka currency and all its books of accounts and financial statements will be maintained accordingly..

### 11.12 Interest Income

CMES will maintain a separate account code for keeping track of all/or any interest earned out of development partners" fund and will follow development Partners" regulations to use such income.

### 11.13 Bank Charges and Commissions

Bank charges and commissions will be expensed in the statement of Activity/ Income statement on cash basis.

### 11.14 Income Tax on Interest Income

Income Tax deducted on interest income will be booked as advance income tax in the assets side of balance sheet and identified on year-to-year basis. Income Tax if assessed in future will be adjusted from tax already paid.

### 11.15 Depreciation of Fixed Assets

**For Organization**

Depreciation is charged on reducing balance method at rates varying from 10% to 100%. No depreciation is charged on land.

**For Project**

Since the project is not a going concern under accepted accounting principle, charging of depreciation on assets does not arise, only the historical cost is shown for identification. Accordingly, capital expenditure incurred is fully amortized with a corresponding credit to Fixed Assets Fund.

## 11.16 Rate of Depreciation

Depreciation shall be charged in each financial year on every capital asset at the rate provided below:

| | |
|---|---|
| Land | 0% |
| Land Development, school house & campus facilities | 15% |
| Vehicle | 20% |
| Motor Cycle | 20% |
| Bi-Cycle | 20% |
| Furniture & Fixture | 10%-20% |
| Technology Equipment | 20%-30% |
| Education Equipment | 20%-30% |
| Office Equipment | 20%-30% |
| Training Equipment | 20%-30% |
| Computer | 50%-100% |
| Spare Tool & Tool Box | 50%-100% |
| Electrical goods | 50%-100% |

## 11.17 Accounting for Contribution from Donor

Receipts from donor including exchange gain are dealt through Fund Account. Accordingly, the period end unspent balance is shown under the head Unutilized Fund. As per terms of the agreement, the Unspent Fund, if any, can be used with prior permission of the donor.

## 11.18 Emergency Financial Management System

i) In case of emergency, management will follow procurement procedure as specified in the procurement section under „Emergency funding"

ii) If a project needs funding as an emergency and do not have adequate amount in the account, it can borrow from the own fund subject to approval of the management of . In under no circumstances loan will be taken in cash. All loans must be taken through banking channel and must be deposited in the respective project bank account before spent. Under no circumstances expenditure will be incurred before first transferring the amount in project bank account.